Company Brief

Netflix, Inc. (NASDAQ: NFLX)

Period: February 2 – March 4, 2026 | Sector: Communication Services | Industry: Entertainment

Executive Summary

Netflix closed out the review period dominated by two major narratives: a strong Q4 2025 earnings report and the dramatic resolution of its bid for Warner Bros. Discovery. The company surpassed 325 million global paid subscribers and reported Q4 revenue of $12.05 billion, up approximately 18% year-over-year, beating analyst expectations.[1] Netflix's ad-supported tier reached over $1.5 billion in annual revenue for 2025, more than 2.5 times the prior year.[2] The most consequential development came on February 26, when Netflix walked away from its roughly $83 billion bid for Warner Bros. Discovery after the WBD board deemed Paramount Skydance's revised offer superior.[4] The market rewarded this capital discipline, sending shares up approximately 25% in five trading sessions.[11]

Key Financial Snapshot

Metric	Value
Stock Price (Mar 4, 2026)	$98.64
Market Capitalization	$418.0B
52-Week Range	$75.01 – $134.12
P/E Ratio (TTM)	38.0x
Q4 2025 Revenue	$12.05B (+18% YoY)
Q4 2025 EPS (Diluted)	$0.56 (beat est. $0.55)
TTM Net Income	$10.99B
TTM Operating Margin	29.5%
Global Paid Subscribers	325M+
2025 Ad Revenue	>$1.5B (2.5x vs 2024)
2026 Revenue Guidance	$50.7B–$51.7B
2026 Content Spend Plan	~$20B
Analyst Consensus	Buy (61 Buy / 29 Hold / 7 Sell)
Consensus Price Target	$117.25
Next Earnings Date	April 17, 2026

Source: Bigdata.com Company Tearsheet (FMP, Quartr)

Financial Results

Q4 2025 Earnings (Reported Jan 20, 2026)

Netflix reported Q4 2025 diluted EPS of $0.56, slightly exceeding the consensus estimate of $0.55, representing a roughly 30% increase from the year-ago quarter.[1] Quarterly revenue reached $12.05 billion, growing about 18% year-over-year, driven by membership gains, pricing adjustments, and advertising momentum.[1] Operating income for the quarter was approximately $2.96 billion, yielding an operating margin of 24.5%.[16] **[Bullish]**

The company's ad-supported tier continued its rapid maturation. Across full-year 2025, ad revenues crossed $1.5 billion, growing more than 2.5 times versus 2024.[2] Co-CEO Greg Peters said the ad business is making strong progress and that the opportunity ahead remains massive.[2] **[Bullish]**

2026 Guidance

Netflix guided full-year 2026 revenue between $50.7 billion and $51.7 billion, implying 12–14% growth, with a target operating margin of 31.5%.[6] However, the guidance initially disappointed some investors who expected faster growth, and factored in approximately $275 million in acquisition-related costs before the WBD deal was abandoned.[6] Ad revenue is projected to roughly double again in 2026 to around $3 billion.[6] **[Neutral]**

M&A and Partnerships

Warner Bros. Discovery Bid Abandoned (Feb 26, 2026)

The most significant corporate development this period was Netflix's decision to withdraw from the bidding war for Warner Bros. Discovery. Netflix had offered approximately $27.75 per share for WBD's studio and streaming assets, but after the WBD board deemed Paramount Skydance's revised $31 per share bid superior, Netflix stated the deal was no longer financially attractive and declined to match.[4] The move ended a months-long acquisition saga that had gripped Hollywood.[4] **[Bullish]**

The market strongly endorsed Netflix's capital discipline. Shares surged approximately 25% over five trading days following the announcement, adding roughly $85 billion in market capitalization—more than the value of the WBD deal itself.[11] Netflix signaled it will resume share buybacks and redirect focus toward approximately $20 billion in organic content investment for 2026.[12] **[Bullish]**

Licensing Deals

Netflix entered 2026 with expanded content licensing partnerships. The company secured a new U.S. deal with Universal Studios, expanded its Pay-1 global film deal with Sony Pictures Entertainment, and licensed approximately 20 shows from Paramount Skydance for select markets.[15] Netflix also launched video podcasts through partnerships with Spotify, iHeartMedia, and Barstool Sports.[15] **[Bullish]**

Product & Technology Developments

Content Strategy & Live Events

Netflix's 2026 content slate includes returning franchises such as Bridgerton Season 4, One Piece Season 2, and The Night Agent Season 3, alongside new productions including Greta Gerwig's Narnia adaptation.[8] The company continues to expand into live programming, with highlights including NFL coverage, WWE Raw, and all 47 games of the World Baseball Classic broadcast live for Japanese viewers.[7] **[Bullish]**

Gaming & Product Innovation

Netflix is investing in cloud-based gaming for TV, with roughly one-third of members currently able to access TV-based games. The company is also developing a major soccer title planned for release ahead of the 2026 FIFA World Cup.[6] On the product side, Netflix is testing vertical video features on mobile and plans to launch a redesigned mobile interface later in 2026.[14] Netflix has also begun deploying AI tools for advertisers to create custom ads based on its intellectual property.[9] **[Neutral]**

Regulatory & Legal Updates

Antitrust Scrutiny of WBD Bid (Feb 25, 2026)

Before Netflix abandoned its WBD bid, 11 Republican state attorneys general urged the U.S. Department of Justice to conduct a thorough review, citing concerns that the combination could

threaten U.S. dominance in films.[10] FCC Chairman Brendan Carr also noted that the Netflix-WBD combination raised significant competition concerns compared to the Paramount Skydance proposal.[10] With Netflix's withdrawal, these regulatory concerns are now moot. **[Neutral]**

Management & Organizational Changes

CTO Promotion & Product Team Layoffs (Feb 2–13, 2026)

On February 2, Netflix promoted CTO Elizabeth Stone to the role of Chief Product and Technology Officer, expanding her responsibilities to include product, engineering, and data teams.[13] Shortly thereafter, the company carried out layoffs within its product division, though no senior executives were reportedly affected.[13] The restructuring appears aimed at streamlining the product organization under Stone's expanded leadership. **[Neutral]**

Analyst Sentiment

The analyst community is broadly positive on Netflix. The consensus rating is Buy, with 61 buy ratings, 29 holds, and 7 sells. The consensus price target is $117.25, implying approximately 19% upside from the current price.[16]

JPMorgan was a notable upgrade this period, resuming coverage with an Overweight rating and a $120 price target on March 2, citing Netflix's strong fundamentals and its relative insulation from AI disruption risk.[5] Oppenheimer reiterated its Outperform rating with a $125 target, highlighting a more predictable outlook without the WBD acquisition overhang.[5] **[Bullish]**

Institutional Fund Activity (Q4 2025)

Institutional activity in Q4 2025 showed mixed signals. Notable new positions included Norges Bank ($6.67B capital inflow, the largest buyer) and BNP Paribas Asset Management. Meanwhile, significant sellers included JP Morgan Chase ($2.77B outflow), T. Rowe Price ($2.53B outflow), and Fidelity Investments ($1.64B outflow). Net capital flow among top funds was negative at approximately -$1.26B, and net shares changed by -11.70M shares.[16] **[Neutral]**

The total number of holders remained roughly stable at 3,468, while 415 new positions were opened versus 329 closures. Put options value ($20.7B) exceeded call options ($15.3B), suggesting some hedging activity amid deal uncertainty during the period.[16]

Overall Assessment

Netflix exits this 30-day period in a stronger strategic position than when it entered. The resolution of the Warner Bros. Discovery bidding saga—with Netflix exercising capital discipline by walking away—removed the largest source of investor uncertainty and unlocked a significant stock rebound. The company's core business metrics remain robust: 325 million subscribers, 18% revenue growth, expanding margins, and a rapidly scaling advertising business projected to double again in 2026.

Looking ahead, key catalysts include the April 17 Q1 2026 earnings report, where investors will scrutinize ad-tier progress and subscriber trends. The resumption of share buybacks, approximately $20 billion in content investment, and expansion into live sports, gaming, and podcasting provide multiple levers for growth. The analyst consensus of Buy with roughly 19% upside to the price target reflects confidence in Netflix's ability to compound its dominant position in global streaming entertainment.

Overall Sentiment: Bullish

Sources

[1] Nasdaq – Netflix Beats Q4 Earnings Estimates, Crosses 325M Subscribers – Jan 21, 2026

[2] CNBC – Netflix's advertising strategy shift is starting to pay off – Jan 21, 2026

[3] Yahoo! Finance – Netflix Tops 325 Million Subscribers – Jan 20, 2026

[4] CNN – Netflix drops out of bidding after WBD deems Paramount's bid superior – Feb 27, 2026

[5] CNBC – JPMorgan turns bullish on Netflix – Mar 02, 2026

[6] Business Insider – After Abandoning the WBD Bid, Catalysts May Drive Netflix Higher – Feb 28, 2026

[7] Nasdaq – Netflix's Growth Strategy Is About More Than Just Warner Bros. – Feb 13, 2026

[8] Nasdaq – Netflix Membership Momentum Builds – Jan 22, 2026

[9] Yahoo! Finance – Netflix Product Team Hit With Layoffs – Feb 13, 2026

[10] CNBC – 11 U.S. States Urge DOJ to Probe Netflix-WBD Deal – Feb 25, 2026

[11] Nasdaq – Netflix Stock Rises After JPMorgan Upgrade – Mar 03, 2026

[12] Yahoo! Finance – Netflix Stock Jumps After Walking Away From WBD Deal – Feb 27, 2026

[13] MediaWeek – Netflix slashes product team roles amid leadership reshuffle – Feb 13, 2026

[14] Yahoo! Finance – NFLX Q4 Deep Dive: Guidance for 2026 – Jan 21, 2026

[15] Zacks – Netflix Declines 8% Post Q4 Earnings – Feb 24, 2026

[16] Bigdata.com – Company Tearsheet (FMP, RavenPack, Wall St. Rank, ESG Book) – Mar 04, 2026

Disclaimer

This company brief is generated using data from Bigdata.com, FMP, Quartr, Wall St. Rank, ESG Book, and RavenPack. It is intended for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. All financial data is subject to revision.